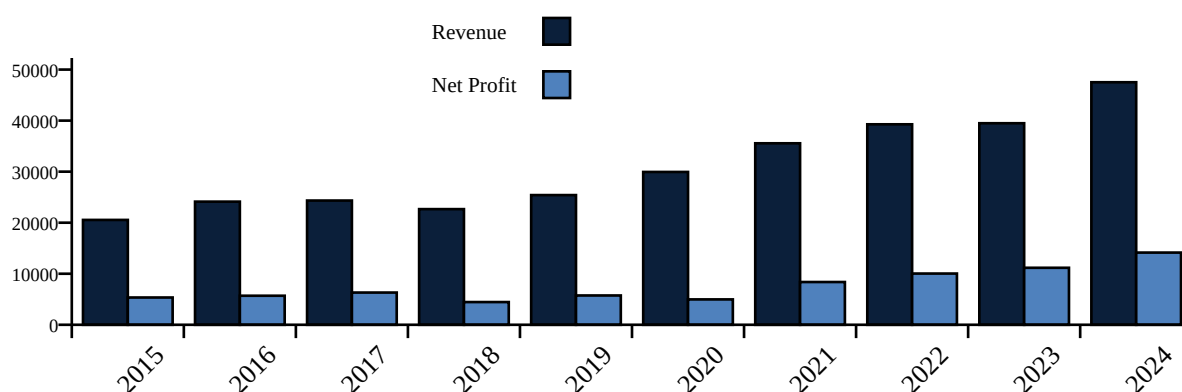


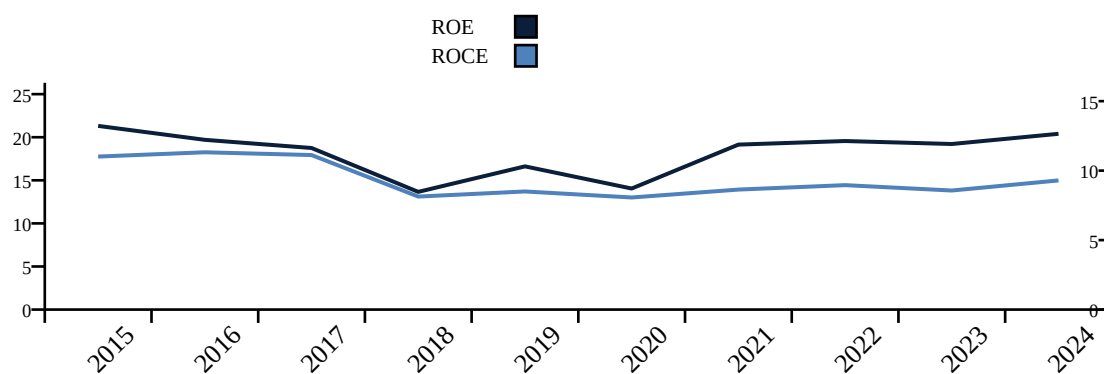
REC Ltd RECLTD

ROE 20.4%	ROCE 9.3%	Net Margin 29.8%
Debt / Equity 6.4	Revenue CAGR 5Y 13.3%	Quality Score 39.6

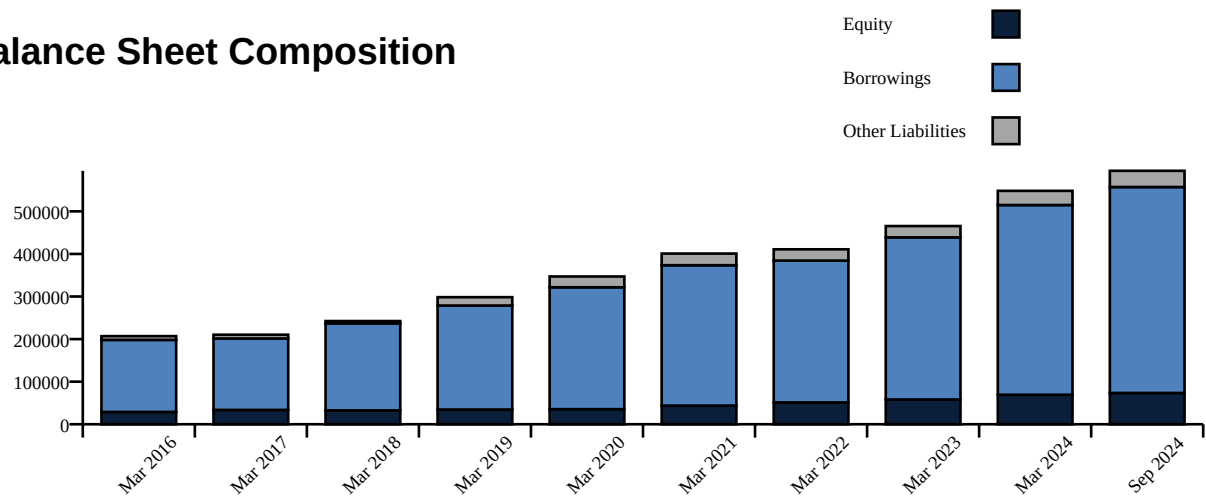
10-Year Revenue & Net Profit



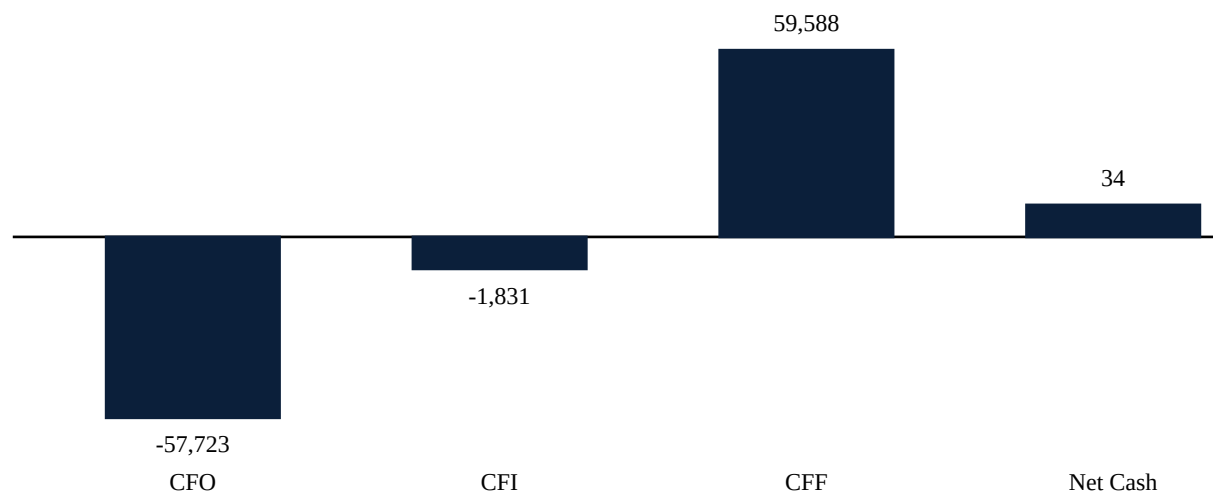
ROE & ROCE Trend



Balance Sheet Composition



Cash Flow Waterfall — Latest Year



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt